DEAL DECODED · #2 · INDIA → US · PHARMA · LIVE DEAL

Sun Pharma / Organon

A cheap multiple and a full price. Organon's shareholders won the auction; Sun keeps about a fifth of the synergy value it guided, and needs roughly 82% of the $350m just to break even.

Debjit Mukherjee, IB Independent · Outside-in analysis from public filings · Market data to 23 October 2026 · Stage: stockholder-approved, regulatory review, close expected early 2027

PREMIUM TO UNAFFECTED	EV / LTM EBITDA	SYNERGY VALUE KEPT BY SUN	NPV TO SUN	GUIDE NEEDED TO BREAK EVEN	ARB SPREAD, ANNUALISED
+103%	6.3x	20%	+$361m	82%	7.8%

The Verdict

Organon's shareholders won the auction. $14.00 in cash is +103% on the $6.91 close of 9 April 2026, the proxy's unaffected date, and 36 points above the 75th percentile of Morgan Stanley's premia study for comparable all-cash deals. It sits just above the top of the seller's own banker's DCF range ($6.80–13.90). Organon's board asked for $14.50; Sun said $14.00 was best and final, and the only rival with a credible bid could not finance it.

The multiple is cheap; the price is not. The proxy-basis enterprise value of $11.52bn is 6.3x LTM adjusted EBITDA, inside the two precedents Morgan Stanley cited (6.2–6.5x). Both statements hold because equity is only 35% of enterprise value: Organon carries $7.53bn of net debt from its spin-off, so about one turn of EBITDA doubles the share price.

Sun keeps about a fifth of the synergies. On management's own projections, at Organon's ~10.5% cost of capital (the midpoint of Morgan Stanley's range), Organon is worth $10.28 a share standalone. Sun's $350m of guided cost synergies, net of the cost to achieve them, add $1.80bn. Against an all-in price of $11.90bn, Sun's NPV is +$361m: 20% of the synergy value. It needs about 82% of its guide to break even, and with no synergies the deal destroys $1,442m.

The accretion is real but it is not value. The deal adds +12% to Sun's FY2028 reported EPS, after purchase-accounting amortisation and integration cost, and +47% on a cash basis. That is 6.5% debt buying a 17% EBITDA yield; it would be there for any cheap, levered, ex-growth asset.

1. The Deal

Item	Detail
Signed / announced	26 April 2026 / 27 April 2026, before the Indian open
Consideration	All cash, $14.00 per Organon share; no financing condition
Size	Equity $3.99bn on 284.9m fully diluted shares; headline enterprise value $11.75bn
Financing	Committed senior secured bridge up to $12bn (Citi, JPMorgan, MUFG); $2.0–2.5bn of Sun's cash; $1bn Sun funding commitment and affiliate guarantees
Protection	Organon pays a $120m fee (3.0% of equity) in specified cases; no reverse termination fee
Outside date	26 January 2027, extendable by either party to 26 April 2027
Approvals	Stockholders approved 23 July 2026. Outstanding: non-US antitrust, foreign direct investment and EU Foreign Subsidies Regulation clearances; Sun's Indian overseas-investment filings
Advisers	Organon: Morgan Stanley (fee ~$39.4m, $35.4m contingent on closing), Goldman Sachs, Sullivan & Cromwell. Sun: J.P. Morgan, Jefferies, White & Case, AZB & Partners

Item	Detail
Stated rationale	'A stronger and more diversified platform' (Dilip Shanghvi); top-25 global pharma, $12.4bn combined revenue

2. How the Price Was Set: the Auction

The proxy's background section is unusually revealing. Organon ran a seven-month process after its October 2025 CEO change and an Audit Committee investigation into Nexplanon sales to certain US wholesalers, which Organon self-reported to the SEC and which the SEC then opened its own investigation into. About 24 indications of interest arrived, for the whole company or for pieces of it; three parties signed NDAs for a sale of Organon. Sun's first range, on 17 December 2025, was $12–14 with the stock at $6.99. The board rejected $13.50 in January.

A European-based pharmaceutical company (Party C) bid $11.75 in March and revised to $13.00. On 20 April its banker told Morgan Stanley that, with acquisition-financing costs materially higher after geopolitical developments, Party C could not secure commitments on acceptable terms in time for the 22 April deadline. Sun's final bid, $14.00, was the top of its own opening range.

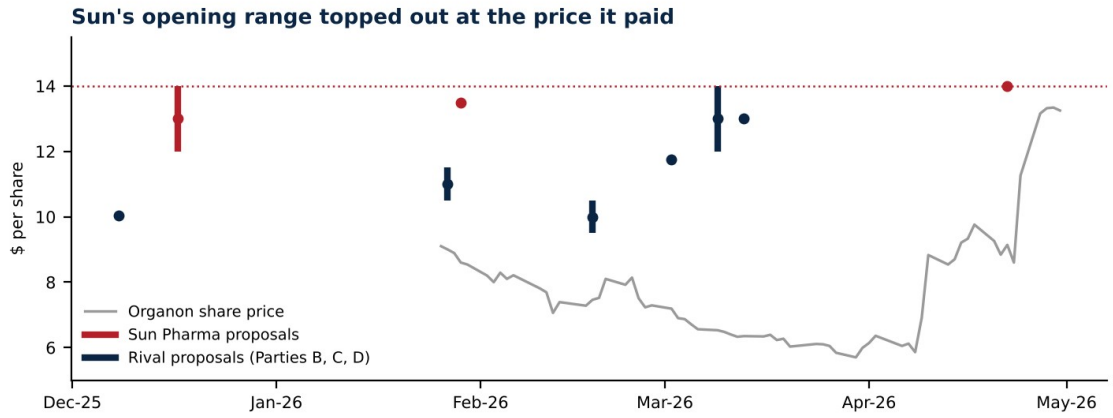


Chart 1. Every price in the proxy's Background of the Merger, against Organon's share price. Source: DEFM14A; NYSE.

From the banker's chair the lesson is that certainty was worth money. Sun was the only bidder with committed financing and no financing condition. It asked for exclusivity on 24 April and did not get it, but it did not need it: Organon's board traded the last $0.50 a share for a signed deal with no financing risk.

3. What Was Paid

Measure	Value	Read
Premium to unaffected close (9-Apr-2026)	+103%	36 points above the 75th percentile (67%) of Morgan Stanley's premia study, $1–15bn all-cash deals since 2020
Premium to 30-day VWAP / to 24-Oct-2025 close	+120% / +53%	Even against the price before the October 2025 investigation, a full premium
Premium to 52-week high ($13.25)	+6%	The one lens on which $14 looks modest
EV / LTM adjusted EBITDA	6.29x	Inside Morgan Stanley's two precedents: Mallinckrodt/Endo and Upjohn/Mylan (a stock combination), 6.2–6.5x
EV / 2026E adjusted EBITDA	6.08x	vs 5.02x at the unaffected price; trading comps 5.1–6.9x
Price / FY2025 adjusted EPS	3.8x	Leverage again: earnings are what is left after ~$500m of interest
Equity as share of EV	35%	The buyer is mostly buying debt-financed cash flow

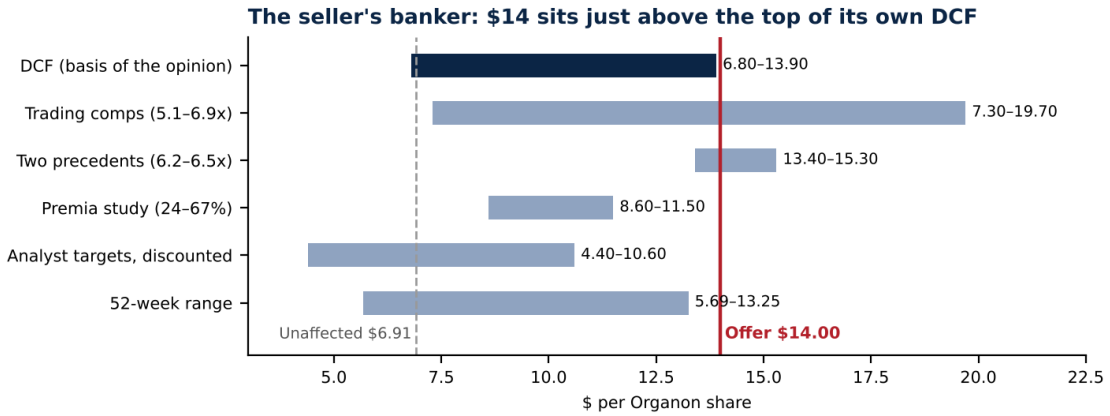


Chart 2. Morgan Stanley's reference ranges against the offer. Only the DCF formed part of its fairness opinion; the rest were reference points. Source: DEFM14A pp.59–62.

4. What It Is Worth to Sun

$m	FY2023	FY2024	FY2025		2026E	2027E	2028E	2029E	2030E
Revenue	6,263	6,403	6,216		6,252	6,475	6,693	6,822	6,470
Adjusted EBITDA	—	1,958	1,907		1,894	2,018	2,099	2,150	1,986
Net income / unlevered FCF	1,023	864	187		1,010	714	958	1,117	774
Free cash flow (CFO − capex)	548	764	538						
Nexplanon revenue	—	963	921						

Organon history from the 10-K and results release; 2026E–2030E are the 'Organon Projections' management prepared in March 2026 for the sale (net income in the history columns, unlevered free cash flow in the projection columns). FY2025 net income includes a $301m goodwill impairment.

We value Organon on the projections its management prepared for the sale. Revenue rises from $6.25bn in 2026 to $6.82bn in 2029, then falls 5% in 2030 as Nexplanon meets generic competition. The published cash flows carry one-off supply-exit and restructuring costs, so we build a clean terminal cash flow from 2030E EBITDA, less stock compensation, tax, capex at the FY2025 level and no working-capital build: $1,290m, declining 1% a year thereafter. Discounted at 10.5%, the midpoint of Morgan Stanley's range, the standalone answer is $10.28 a share.

Check: this DCF at Morgan Stanley's inputs	Low	High
This model (10.2–10.9%, −2% to 0% growth, mid-year)	$6.84	$14.23
Morgan Stanley, DEFM14A	$6.80	$13.90
Gap	+0.6%	+2.3%

The reconciliation matters for the verdict. Using the published 2030 cash flow ($774m) as the terminal year, as a quick model might, gives a much lower standalone value and makes the deal look like a large overpayment (−$2,542m NPV); the one-offs in that year are not a run-rate. Built cleanly, our DCF lands within a few percent of Morgan Stanley's range, so the conclusion rests on the seller's banker's own valuation, not on ours.

On that basis the market was sceptical of management's plan: the $6.91 unaffected price is well below the $10.28 plan value, which is what you would expect with a sales-practices investigation open and the largest product facing patent expiry. Add Sun's $350m of guided cost synergies, phased in over 2027–2029, taxed, and less a one-off cost to achieve of one year's run-rate, and the value to Sun is $16.61 a share against an all-in price of $15.34 (the $14.00 plus other debt-like items and fees).

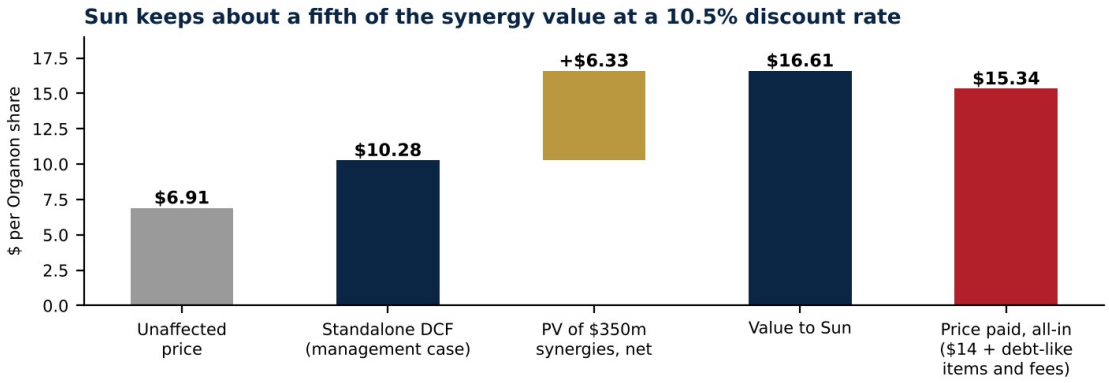


Chart 3. Per-share value bridge on management's projections at a 10.5% discount rate. Source: model (Valuation & Verdict, Synergies tabs).

Measured against the market price, the premium of $2.02bn is 112% of the net synergy value: more than all of it. Measured against management's plan, Sun keeps +$361m, about 20% of the synergies. Either way the margin is thin. 73% of the synergy value sits beyond 2030, so it depends on the savings persisting for a decade or more.

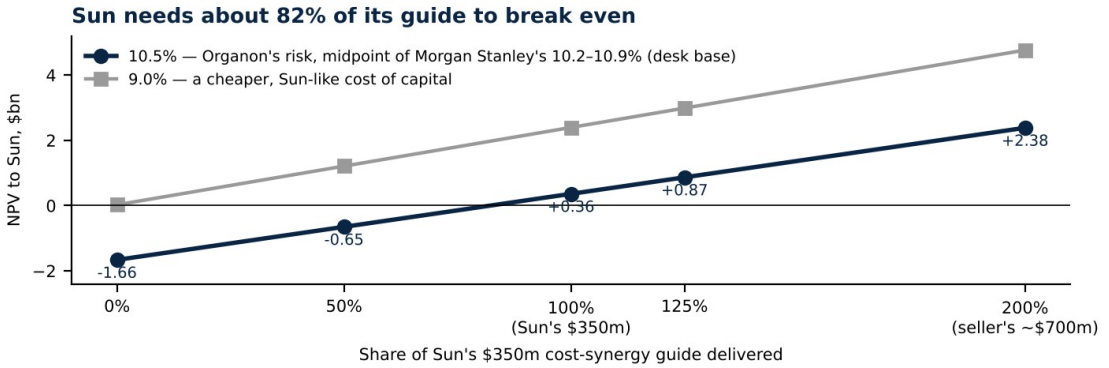


Chart 4. NPV to Sun shareholders by synergy delivery, at two discount rates. Source: model (Sensitivities, grid 2).

The upside case exists. On 22 January 2026 Organon showed Sun a preliminary cost-synergy estimate of about $700m (Organon 8-K, 17 July 2026), twice Sun's public guide. At 200% delivery Sun's NPV would be about $2.38bn. Cheaper capital helps too: at 9% the NPV with full synergies is about $2.40bn. At the 50% our Sun Pharma note carries, it is −$651m. Sun has not quantified any revenue synergies, so we value none.

5. Accretion, Financing and Leverage

Sources	$m	Uses	$m
Sun cash (midpoint of guided $2.0–2.5bn)	2,250	Organon equity at $14.00	3,989
New acquisition debt	10,442	Organon debt refinanced (carrying value)	8,553
		Fees and expenses (desk)	150
Total	12,692	Total	12,692

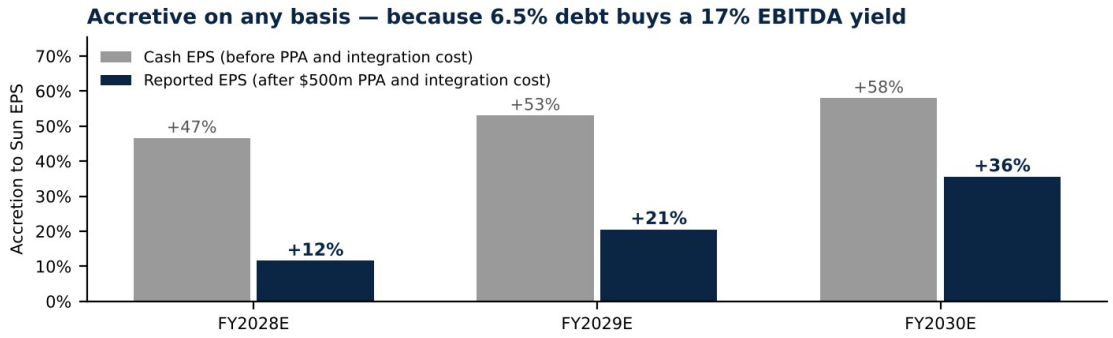


Chart 5. Accretion to Sun EPS on Organon management's projections. Source: model (Accretion-Dilution).

Sun told investors the deal is 'EPS accretive from day one', and on management's numbers it is. Reported EPS rises +12% in FY2028, +21% in FY2029 and +36% in FY2030, after an illustrative $500m a year of purchase-price amortisation (range $400–600m) and the integration cost; on a cash basis the uplift is +47% in year one. With no synergies and no integration cost it is still +16%. Debt cost is a desk assumption of 6.5%; Sun's CFO said Organon's existing debt costs about 5.5%, which would add to the accretion.

Our Sun Pharma note of 7 September carried +29%. Taking this model's cash-EPS figure to that note's assumptions (half the synergies, +44%; then its 88.5 rupee rate, +41%) leaves a gap of about 12 points from other differences in that note's build, which we have not reconciled line by line. Return on invested capital starts at 11.0% and reaches 13.5% in FY2030, against a 10.5% cost of capital: a margin of half a point in year one and three points by FY2030, on an asset whose revenue management expects to shrink after 2029.

The balance sheet inverts. A company with about ₹20,000 crore of net cash moves to roughly 2.5x net debt to EBITDA (Sun says 2.3x), with Organon supplying 49% of combined EBITDA. The acquisition debt leaves $1,558m of headroom under the $12bn bridge. Because the price is fixed in dollars, the rupee has already added about ₹789 crore to the cost since signing (₹1.12 lakh crore at today's rate).

6. Regulatory Risk and the Spread

Organon's stockholders approved the deal on 23 July. The HSR filing was made on 21 May with the waiting period scheduled to expire on 22 June; no later filing mentions HSR. The remaining conditions are non-US antitrust, foreign direct investment and EU Foreign Subsidies Regulation clearances, and Sun has Indian overseas-investment filings to make. Overlap is small: Sun called it 'negligible', with a few products possibly to be divested.

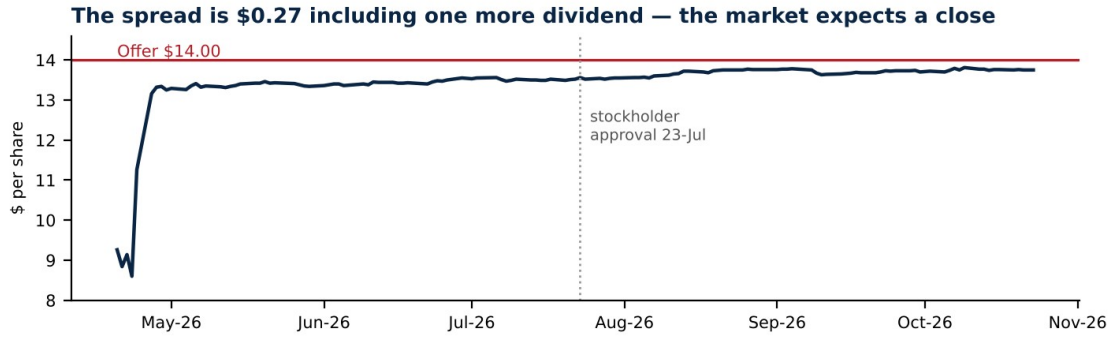


Chart 6. Organon's share price since the announcement against the $14.00 offer. Source: NYSE.

Measure	Value
Organon close, 23-Oct-2026	$13.75
Gross spread incl. one more $0.02 dividend	$0.27 (1.96%)
Days to the first outside date, 26-Jan-2027 (desk close)	95

Measure	Value
Annualised spread	7.8%
… if it closes 31-Mar-2027 / 26-Apr-2027	4.6% / 3.9%
US 3-month T-bill	4.03%
Break price if the deal fails (desk: unaffected, moved with the S&P 500)	$7.72
Implied probability of closing (risk-neutral)	98%
Downside if it breaks	−44%

An arbitrageur earns about 7.8% annualised to a January close against 4.0% in T-bills, for a −44% loss if the deal breaks. On our break-price assumption the market is pricing about a 98% chance of completion. The spread only beats cash comfortably if the deal closes by the January outside date; at an April close it earns about what T-bills do. That looks right for a deal with financing committed, stockholders on board and little overlap. The residual risks are timing and a Nexplanon or investigation surprise that tests the material-adverse-effect clause.

7. The Strongest Case Against This Verdict

The market disagrees. Sun's shares rose +3.5% relative to the Nifty around the announcement, and since 27 April Sun has returned +0.8% against −6.2% for the Nifty, 7 points ahead. If investors thought Sun had overpaid, the stock should have lagged. And on multiples the price is ordinary: 6.3x EBITDA for a 30%-margin business with a top-three position in women's health is not reckless.

We accept most of that, and our verdict is a full price, not a bad deal: the NPV is positive on management's plan. But announcement-day moves price the EPS, and the EPS is the one thing this deal is certain to deliver. Measured from the 9 April unaffected date, Sun moved −0.4% against the Nifty: no verdict at all. Six months of outperformance also spans Sun's own India business and a weaker rupee, which flatters an exporter. The multiple looks cheap because the asset is ex-growth: Organon's revenue fell 3% in 2025, management's own plan has it falling 5% in 2030, and Nexplanon (15% of 2025 revenue) faces US patent expiries in 2027 and 2030.

What would change our mind: delivery toward the seller's $700m estimate, or revenue synergies Sun has so far declined to quantify. Either would turn a full price into a good one. Delivery below about 80% of $350m would make it a bad one.

8. What to Watch

Date	Event	What it tells us
Before 26-Jan-2027	Remaining regulatory clearances	Whether the deal closes inside the first outside date, which is what the spread needs
Q4 FY2027 (Jan–Mar 2027)	Sun's first results with Organon	Purchase-price allocation, actual interest cost, synergy run-rate
2027	Nexplanon rod-patent expiry; Xiromed litigation; SEC investigation	Whether management's revenue plan survives its biggest product
FY2028–FY2030	Synergy delivery vs $350m	Break-even is about 82% of the guide

Methodology and Disclaimer

Outside-in analysis from public filings: Organon's merger proxy (DEFM14A, 17 June 2026) and its 17 July 2026 supplement (8-K), 10-K for 2025, Q4 2025 results and Q2 2026 10-Q; Sun Pharma's announcement and investor-call transcript of 27 April 2026; NYSE and NSE closing prices. Every input, source and date is listed on the Evidence tab of the accompanying model. Desk assumptions (10.5% discount rate, terminal build, cost to achieve synergies, debt cost, fees, purchase-price amortisation, expected close and break price) are shown in blue and flexed on the Sensitivities tab.

This note is personal and educational analysis by Debjit Mukherjee. It is not investment advice, a recommendation or a solicitation, and makes no call on Sun Pharma or Organon shares. The author did not advise on, work on or have any access to this transaction, and is not a SEBI-registered investment adviser or research analyst. Views are the author's own and not those of Vireo Capital Research. Figures as of 23 October 2026.

DEAL DECODED #2 · SUN PHARMA / ORGANON

Outside-in analysis from public filings. Debjit Mukherjee, IB Independent. Market data to 23-Oct-2026. Live deal — not investment advice.

HEADLINE OUTPUTS

Offer per share ($)	$14.00
Equity value ($m)	3,989
Enterprise value, headline ($m)	11,750
Premium to unaffected	102.6%
EV / LTM adjusted EBITDA	6.29x
Premium paid ($m)	2,020
PV of synergies, net of cost to achieve ($m)	1,803
Premium ÷ PV of synergies	112.0%
Standalone value per share, desk DCF ($)	$10.28
Value to Sun incl. synergies, per share ($)	$16.61
NPV to Sun shareholders ($m)	361
Share of Sun's guide needed to break even	82.2%
EPS accretion FY2028E, reported basis	11.5%
Pro forma net debt / EBITDA	2.46x
Annualised arbitrage spread	7.8%
Implied probability of closing	98.0%

CHECKS (ALL MUST READ PASS)

Equity value within 0.5% of Sun's stated $3.99bn	**PASS**
Premium to unaffected matches the proxy's ~103%	**PASS**
Pro forma leverage within 0.3x of Sun's stated 2.3x	**PASS**
Acquisition debt within the $12bn bridge	**PASS**
DCF reproduces Morgan Stanley's range within ±5% at each end	**PASS**
Sensitivity grids tie to their source sheets	**PASS**

TAB MAP

Deal Terms — snapshot, price arithmetic, the auction
Target Standalone — history, balance sheet, management projections
Acquirer Standalone — Sun Pharma
Premium & Precedents — what was paid; Morgan Stanley's ranges
Synergies — PV and the share paid away
Accretion-Dilution — EPS, the bridge to the Sun note, ROIC
Pro Forma — sources & uses, leverage
Spread & Odds — the live arbitrage
Valuation & Verdict — DCF reconciled to Morgan Stanley, value to Sun, verdict
Sensitivities — five grids
Evidence — sources

Sun Pharma / Organon — Deal Terms

Source: Organon DEFM14A (17-Jun-2026), 8-Ks, Q2 2026 10-Q; Sun Pharma release and investor call (27-Apr-2026). US$ millions unless stated. Blue = input, black = formula, green = cross-sheet link.

DEAL SNAPSHOT

Acquirer	Sun Pharmaceutical Industries Ltd, via Sun Pharmaceutical Holdings USA, Inc.
Target	Organon & Co. (NYSE: OGN) — women's health, biosimilars, established brands; spun off from Merck in June 2021
Signed / announced	26-Apr-2026 (signed) / announced before the Indian open, 27-Apr-2026
Consideration	All cash, $14.00 per Organon share; no financing condition
Organon stockholder vote	Approved 23-Jul-2026 (special meeting)
Expected close	'Early 2027' (Organon 10-Q, 31-Jul-2026); Sun said 6–9 months on 27-Apr-2026
Outside date	26-Jan-2027, extendable by either party to 26-Apr-2027
Approvals outstanding	Non-US antitrust, foreign direct investment and EU Foreign Subsidies Regulation clearances. HSR filed 21-May-2026, waiting period scheduled to expire 22-Jun-2026 (no later filing mentions HSR). Sun also has Indian overseas-investment filings to make
Organon advisers	Morgan Stanley (fairness opinion; fee ~$39.4m, $35.4m contingent on closing); Goldman Sachs (other alternatives); Sullivan & Cromwell
Sun advisers	J.P. Morgan, Jefferies; White & Case, AZB & Partners
Financing	Committed senior secured bridge up to $12bn (Citi, JPMorgan, MUFG lead); Sun cash $2.0–2.5bn; $1bn Sun funding commitment and affiliate guarantees
Termination fee (Organon pays)	$120m in specified circumstances; no reverse termination fee in the signed agreement
Stated rationale	'a stronger and more diversified platform' (D. Shanghvi); 'a logical next step in strengthening Sun Pharma's global business' (K. Ganorkar)

PRICE ARITHMETIC

Offer price per share ($)	$14.00
Fully diluted shares, 24-Apr-2026, treasury method (m)	284.9
EQUITY VALUE ($m)	**3,989**
Sun's stated equity value on the call ($m) — check	3,990
Difference vs stated (must be within 0.5%)	-0.04%
Net debt, 31-Mar-2026, per the proxy ($m)	7,530
ENTERPRISE VALUE, proxy basis ($m)	**11,519**
Headline enterprise value in the release ($m)	11,750
Headline less proxy-basis EV ($m) — other debt-like items and timing	231
Termination fee ($m)	120
as % of equity value	3.01%
Shares outstanding at the record date, 15-Jun-2026 (m)	262.6
Dilutive equity awards implied (fully diluted less basic, m)	22.3

THE AUCTION — EVERY PRICE IN THE PROXY'S BACKGROUND SECTION

Date	Bidder	Proposal	Low ($)	High ($)	OGN close that day ($)	Mid premium to that close
31-Oct-2025	Party B (private healthcare holdco)	US business only, $3.3bn				
08-Dec-2025	Party B	100% of Organon	$10.03	$10.03	$7.29	37.6%
17-Dec-2025	Sun Pharma	First price range	$12.00	$14.00	$6.99	86.0%
27-Jan-2026	Party B	Revised	$10.50	$11.50	$9.00	22.2%
29-Jan-2026	Sun Pharma	Revised IOI — rejected by the Board	$13.50	$13.50	$8.60	57.0%
18-Feb-2026	Party D (financial sponsor)	IOI	$9.50	$10.50	$7.46	34.0%
02-Mar-2026	Party C (European pharma)	Offer	$11.75	$11.75	$7.19	63.4%
09-Mar-2026	Party D	Non-binding offer; no final bid	$12.00	$14.00	$6.53	99.1%
13-Mar-2026	Party C	Revised; could not finance a final bid	$13.00	$13.00	$6.35	104.7%
22-Apr-2026	Sun Pharma	Final bid — 'best and final'; Organon ask	$14.00	$14.00	$9.14	53.2%

OGN closes from NYSE. Sun's first range (Dec-2025) topped out at the price it finally paid: $14.00 was the top of its own opening range. Sun asked for exclusivity on 24-Apr-2026; none was agreed.

Final price ÷ Sun's opening-range midpoint	7.7%
Final price ÷ best rival indication (Party C $13.00 firm)	7.7%

Organon (target) — standalone history and management projections

Source: Organon 10-K FY2025, Q4 2025 results release (12-Feb-2026), Q2 2026 10-Q, DEFM14A 'Organon Projections' (prepared March 2026). US$ millions.

HISTORY (US GAAP, FISCAL YEARS TO DECEMBER)

	FY2023	FY2024	FY2025
Revenue	6,263	6,403	6,216
Cost of sales	2,515	2,688	2,903
Gross profit	3,748	3,715	3,313
SG&A	1,893	1,760	1,721
R&D	528	469	366
Interest expense	527	520	504
Net income	1,023	864	187
Diluted EPS ($)	$3.99	$3.33	$0.72
Adjusted EBITDA (company, non-GAAP)		1,958	1,907
Depreciation	120	132	156
Amortisation	116	145	205
Cash from operations	799	939	700
Capital expenditure	251	175	162
Nexplanon/Implanon NXT revenue		963	921
Free cash flow (CFO less capex)	548	764	538
Adjusted EBITDA margin		30.6%	30.7%
Nexplanon share of revenue		15.0%	14.8%
Revenue growth		2.2%	-2.9%

FY2025 net income includes a $301m goodwill impairment. Nexplanon: US rod patents expire 2027 and 2030; a Paragraph IV filer (Xiromed) was sued in April 2025; the SEC has opened an investigation into the wholesaler sales-practices matter.

BALANCE SHEET, 30-JUN-2026 (10-Q)

Cash and cash equivalents	1,132
Total principal debt	8,553
Net debt, 30-Jun-2026	7,421
Goodwill	4,153
Intangibles, net	1,112
Total stockholders' equity	1,006
Weighted-average interest rate on borrowings	4.9%
Average debt maturity (years)	4.1

MANAGEMENT PROJECTIONS (THE 'ORGANON PROJECTIONS', DEFM14A p.64) — the case the seller's banker valued

	Q2'26E	Q3'26E	Q4'26E	2026E	2027E	2028E	2029E	2030E
Revenue	1,546	1,613	1,632	6,252	6,475	6,693	6,822	6,470
Adjusted EBITDA	451	507	522	1,894	2,018	2,099	2,150	1,986
Unlevered free cash flow	118	49	338	1,010	714	958	1,117	774
Adjusted EBITDA margin	29.2%	31.4%	32.0%	30.3%	31.2%	31.4%	31.5%	30.7%
UFCF / Adjusted EBITDA (cash conversion)	26.2%	9.7%	64.8%	53.3%	35.4%	45.6%	52.0%	39.0%
Revenue CAGR 2026E–2030E	0.9%							
LTM adjusted EBITDA to 31-Mar-2026, ex one-off (proxy)	1,832							

UFCF is after one-time Merck supply-exit costs, restructuring and business-development payments, which is why 2026E and 2030E dip. The desk builds a clean terminal cash flow from 2030E EBITDA (Valuation & Verdict), which reproduces Morgan Stanley's DCF range.

Sun Pharma (acquirer) — standalone

Source: desk Sun Pharma model (COVERAGE/SUN PHARMA, published 07-Sep-2026, built from company filings); prices NSE close 23-Oct-2026; Sun investor call 27-Apr-2026.

Share price, 23-Oct-2026 (Rs)	1,748.00
Shares outstanding (crore)	239.93
Market capitalisation (Rs crore)	419,398
FY2026 EPS (Rs)	47.84
TTM revenue (Rs crore)	59,911
TTM net profit (Rs crore)	12,117
Net cash before the deal (Rs crore)	20,096
of which investments / treasury (Rs crore)	24,723
of which borrowings (Rs crore)	4,627
Standalone EBITDA, FY2027E (Rs crore, desk)	18,416
Standalone EPS FY2028E (Rs, desk)	57.07
Standalone EPS FY2029E (Rs, desk)	61.53
Standalone EPS FY2030E (Rs, desk)	66.04
Trailing P/E (x)	36.5x
USD/INR, 23-Oct-2026	94.93
USD/INR, 27-Apr-2026 (announcement)	94.26
Deal cost in rupees at signing FX (Rs crore)	110,754
Deal cost in rupees at today's FX (Rs crore)	111,543
Rupee cost added by currency since signing (Rs crore)	789

Sun's financial year ends 31 March, so Organon's calendar 2027 sits almost exactly in Sun's FY2028 — the first full year of ownership.

What was paid — premium, implied multiples, precedents

Source: DEFM14A (premia, Morgan Stanley reference ranges), NYSE closes; multiples computed here on the proxy-basis EV.

PREMIUM		
Offer price ($)	$14.00	
Unaffected close, 9-Apr-2026 — the proxy's unaffected date (a 19-Jan-2026 press report preceded it) ($)	$6.91	
PREMIUM TO UNAFFECTED	**102.6%**	
Proxy states ~103% — check (difference)	0.0%	103.0%
Close 23-Apr-2026 (after the first leak, before the $13bn report) ($)	$8.60	
Premium to 23-Apr-2026 close	62.8%	
Premium to 30-day VWAP through the unaffected date (proxy)	120.0%	
Premium to close on 24-Oct-2025, before the CEO change and sales-practices announcement (proxy)	53.0%	
52-week intraday high before the unaffected date ($)	$13.25	
Premium to 52-week high	5.7%	
Unaffected equity value ($m)	1,969	
PREMIUM PAID IN DOLLARS (equity value less unaffected)	**2,020**	

IMPLIED MULTIPLES (proxy-basis EV)		
EV / LTM adjusted EBITDA (31-Mar-2026)	6.29x	
EV / 2026E adjusted EBITDA	6.08x	
EV / 2027E adjusted EBITDA	5.71x	
EV / FY2025 revenue	1.85x	
Price / FY2025 adjusted EPS ($3.66)	3.8x	$3.66
Price / book (30-Jun-2026 equity)	4.0x	
Unaffected EV / 2026E adjusted EBITDA (what the market paid)	5.02x	
Equity as % of EV — the leverage the buyer takes on	34.6%	

MORGAN STANLEY'S REFERENCE RANGES vs $14.00 (DEFM14A pp.59–62)

Method	Low ($)	High ($)	Basis	$14 vs high
DCF — the only analysis used for the opinion	$6.80	$13.90	WACC 10.2–10.9%, perpetual growth −2% to 0%, mid-year	0.7%
Trading comparables (Bausch Health, Viatris) — reference only	$7.30	$19.70	5.1–6.9x 2026E adjusted EBITDA	-28.9%
Morgan Stanley's two precedents — reference only	$13.40	$15.30	6.2–6.5x LTM EBITDA (Mallinckrodt/Endo 2025; Upjohn/Mylan 2019, a	-8.5%
Morgan Stanley premia study, all-cash deals $1–15bn since 2020 — reference only	$8.60	$11.50	24%–67% (25th–75th pct) on the $6.91 unaffected close	21.7%
Analyst price targets, discounted 1 year at 12.7%	$4.40	$10.60	undiscounted range $5.00–12.00	32.1%
52-week trading range to the unaffected date	$5.69	$13.25	intraday	5.7%

Premium to unaffected vs the 75th percentile of Morgan Stanley's premia study, in points	35.6%	67.0%	
EV/LTM EBITDA vs the midpoint of Morgan Stanley's two precedents	-0.06x	6.20x	6.50x

Two lenses, two answers: on multiples the price is ordinary (6.3x LTM EBITDA, inside the two precedents); on the share price it is extraordinary (+103%, 36 points above the 75th-percentile premium). The gap is the leverage: equity is a third of EV, so a move of about 1.1 turns of LTM EBITDA (unaffected to offer) doubles the equity.

Synergies — what Sun guided, what it is worth, how much was paid away

Source: Sun investor call 27-Apr-2026 (CFO J. Satagopan: '$350 million … purely on the cost front', 'next two to four years'); Organon 8-K 17-Jul-2026 (seller's preliminary estimate ~$700m). Phasing, cost to achieve and discount rate are desk assumptions (blue).

THE PRICE	
Equity value ($m)	3,989
Headline EV paid ($m)	11,750
Premium paid over unaffected ($m)	2,020

SYNERGY ASSUMPTIONS	
Run-rate pre-tax cost synergies guided by Sun ($m)	350
Share of Sun's guide delivered (base)	100.0%
Tax rate	25.0%
One-off cost to achieve, multiple of the guided run-rate (desk; not disclosed)	1.0x
Discount rate (desk base = Organon's risk: midpoint of Morgan Stanley's 10.2–10.9%)	10.5%
Perpetual growth of synergies after 2030	-1.0%
Memo: Organon's own preliminary cost-synergy estimate shown to Sun, 22-Jan-2026 ($m)	700

	2026E	2027E	2028E	2029E	2030E
Years from 31-Mar-2026 (mid-period)	0.38	1.25	2.25	3.25	4.25
Phase-in of run-rate (closing early 2027)	0.0%	25.0%	60.0%	100.0%	100.0%
Cost to achieve, share spent	0.0%	50.0%	50.0%	0.0%	0.0%
After-tax synergies delivered ($m)	0	66	158	263	263
After-tax cost to achieve ($m) — fixed, does not shrink with delivery	0	(131)	(131)	0	0
Discount factor	0.963	0.883	0.799	0.723	0.654
PV of synergies ($m)	0	58	126	190	172
PV of cost to achieve ($m)	0	(116)	(105)	0	0
PV of terminal synergies (mid-year convention, 4.25 years) ($m)	1,478				
PRESENT VALUE OF SYNERGIES, NET OF COST TO ACHIEVE ($m)	**1,803**				
PV of gross synergies per 100% of Sun's guide ($m)	2,024				
PV of cost to achieve ($m)	(221)				
Premium paid ÷ PV of synergies — share of the synergies handed to Organon holders	**112.0%**				
Share of Sun's guide needed to earn back the premium	110.7%				
Share of synergy PV that sits in the terminal value	73.1%				
Memo: run-rate after tax capitalised at a multiple (cross-check only)	1,838	7.0x			

Sun guided $350m and did not quantify revenue synergies, so none are valued. The seller's preliminary estimate was about $700m (Organon 8-K, 17-Jul-2026) — the upside case in Sensitivities grid 2 (200% row).

EPS accretion for Sun — on management's projections

Year 1 = Sun FY2028 (April 2027 – March 2028), which is almost exactly Organon's calendar 2027. Debt held flat (no paydown) — conservative for years 2–3. US$ millions unless stated.

FINANCING	
Uses: equity purchase ($m)	3,989
Uses: Organon debt refinanced at change of control ($m, carrying value; face ~$8.6bn)	8,553
Uses: fees and expenses (desk, ~1.3% of EV)	150
TOTAL USES ($m)	**12,692**
Sources: Sun cash (midpoint of $2.0–2.5bn guided)	2,250
Sources: new acquisition debt (balancing) ($m)	10,442
Committed bridge ($m)	12,000
Pre-tax cost of acquisition debt (desk; Sun's new debt pricing not disclosed — Organon's existing debt costs	6.5%
Pre-tax yield lost on Sun cash used (desk, rupee treasury)	7.5%
Tax rate	25.0%
Organon depreciation + existing amortisation ($m, FY2025 run-rate)	361
Extra amortisation from purchase-price allocation (desk, illustrative midpoint of $400–600m)	500
USD/INR	94.93

	FY2028E	FY2029E	FY2030E
Organon adjusted EBITDA (management: CY2027E–CY2029E)	2,018	2,099	2,150
Synergies realised, pre-tax	88	210	350
less: one-off cost to achieve, pre-tax	(175)	(175)	0
less: D&A (existing)	(361)	(361)	(361)
less: interest on acquisition debt	(679)	(679)	(679)
less: income lost on Sun cash	(169)	(169)	(169)
less: PPA amortisation (illustrative)	(500)	(500)	(500)
Pre-tax contribution, reported basis ($m)	222	426	792
After-tax contribution ($m)	167	319	594
per Sun share (Rs)	6.59	12.63	23.49
Sun standalone EPS (Rs, desk)	57.07	61.53	66.04
Pro forma EPS, reported basis (Rs)	63.66	74.16	89.53
EPS ACCRETION, REPORTED BASIS (after integration cost and PPA)	**11.5%**	**20.5%**	**35.6%**
EPS accretion before PPA and integration cost (cash EPS)	46.6%	53.1%	58.0%
EPS accretion with zero synergies and no integration cost (PPA kept)	16.1%	18.8%	19.8%

BRIDGE TO THE 7-SEP SUN PHARMA NOTE (FY2028E, cash EPS)		
This model, cash EPS (management case, 100% synergies, today's FX)	46.6%	
with 50% of the synergies (the Sun note's assumption)	44.4%	50.0%
… and at the Sun note's FX	41.4%	88.50
Sun note (7-Sep-2026): accretion carried	28.9%	
Residual: other differences in the Sun note's build (not reconciled line by line)	-12.5%	

RETURN ON THE MONEY — ROIC vs COST OF CAPITAL	
Total price paid (headline EV + fees) ($m)	11,900
NOPAT FY2028E incl. synergies, before PPA ($m)	1,308
ROIC, year 1	11.0%
ROIC, FY2030E (full synergies)	13.5%
Cost of capital (desk, Organon's risk)	10.5%
After-tax cost of the acquisition debt	4.9%
EBITDA yield bought (2027E EBITDA ÷ headline EV + fees)	17.0%

Why it is so accretive: Sun buys a ~17% EBITDA yield with ~6.5% debt. Accretion is the spread between the two — it would be there for any cheap, levered, ex-growth asset. It is not evidence of value; the DCF on Valuation & Verdict is.

Sources & uses, pro forma leverage

US$ millions; rupee figures converted at the 23-Oct-2026 rate.

Sources	$m	Uses	$m
Sun cash	2,250	Organon equity at	3,989
New acquisition debt	10,442	Organon debt refin	8,553
		Fees and expenses	150
TOTAL	**12,692**	TOTAL	**12,692**
Acquisition debt headroom under the $12bn bridge ($m)	1,558		

PRO FORMA LEVERAGE AT CLOSE	
Acquisition debt ($m)	10,442
Sun existing borrowings ($m)	487
less: Sun treasury left after funding ($m)	(354)
less: Organon cash, 30-Jun-2026 ($m)	(1,132)
PRO FORMA NET DEBT ($m)	**9,443**
Sun standalone EBITDA FY2027E ($m)	1,940
Organon adjusted EBITDA 2026E ($m)	1,894
NET DEBT / COMBINED EBITDA	**2.46x**
Sun's stated figure (investor call)	2.3x
Organon share of combined EBITDA	49.4%

A company with roughly Rs 20,000 crore of net cash moves to about 2.5x net debt to EBITDA, nearly half of the EBITDA coming from a business whose revenue management expects to fall after 2029.

Live deal — merger-arbitrage spread and the odds the market is pricing

Prices: NYSE close 23-Oct-2026. Expected close and break price are desk assumptions (blue). Refresh on the day of posting.

Offer per share ($)	$14.00		
OGN close, 23-Oct-2026 ($)	$13.75		
Dividends expected before close ($, $0.02 quarterly)	$0.02		
Gross spread ($)	$0.27		
Gross spread (%)	1.96%		
Valuation date	23-Oct-2026		
Expected close (desk: the first outside date, 26-Jan-2027)	26-Jan-2027		
Days to close	95		
ANNUALISED SPREAD	**7.8%**		
US 3-month T-bill, 23-Oct-2026	4.03%		
Excess over T-bills (points)	3.7%		
Unaffected close ($)	$6.91		
S&P 500 change, 9-Apr to 23-Oct-2026	11.7%	7,623.68	6,824.66 *<- S&P 500 on 23-Oct and 9-Apr-2026*
Break price if the deal fails, desk assumption: unaffected moved with the S&P 500 ($)	$7.72		
IMPLIED PROBABILITY OF CLOSING (risk-neutral, T-bill discounting)	98.0%		
Downside if it breaks (%)	-43.9%		
Upside if it closes (%)	1.96%		
Downside ÷ upside	22x		

ANNUALISED SPREAD BY CLOSING DATE

Closing date	Days	Annualised	vs T-bill	
26-Jan-2027 — first outside date	95	7.8%	+3.7%	26-Jan-2027
31-Mar-2027 — 'early 2027'	159	4.6%	+0.5%	31-Mar-2027
26-Apr-2027 — extended outside date	185	3.9%	-0.1%	26-Apr-2027

On our break-price assumption the market prices about a 98% chance of completion. The spread only beats T-bills comfortably if the deal closes by the January outside date; at an April close it earns about what cash does. About 2% to gain against roughly 44% to lose if regulators or financing fail.

What it is worth, the market's verdict, and ours

Standalone DCF on management's projections, rebuilt to reproduce Morgan Stanley's range; desk discount rate and terminal build in blue.

STANDALONE DCF — ORGANON ON MANAGEMENT'S PROJECTIONS

Discount rate for Organon (desk base = midpoint of Morgan Stanley's 10.2–10.9%)	10.5%
Perpetual growth after 2030 (Morgan Stanley range −2% to 0%)	-1.0%
2030E adjusted EBITDA (management)	1,986
less: stock-based compensation (FY2025)	77
Depreciation (FY2025)	156
less: tax at 25% on EBITDA less depreciation	458
less: capital expenditure (FY2025)	162
less: working-capital investment (flat revenue)	0
TERMINAL FREE CASH FLOW, clean (no one-off costs) ($m)	**1,290**
Memo: 2027E–2029E average UFCF, which still carries the one-offs ($m)	930

	Rest of 2026E	2027E	2028E	2029E	2030E
Unlevered FCF ($m)	505	714	958	1,117	774
Years from 31-Mar-2026 (mid-period)	0.38	1.25	2.25	3.25	4.25
PV ($m)	486	630	765	807	506
PV of terminal value (mid-year convention, 4.25 years) ($m)	7,262				
STANDALONE ENTERPRISE VALUE ($m)	**10,458**				
Standalone value per share ($)	$10.28				

RECONCILIATION — THIS DCF AT MORGAN STANLEY'S INPUTS

Discount rate / growth	Rate	Growth	Value per share ($)
Corner 1	10.2%	-2.0%	$8.92
Corner 2	10.2%	0.0%	$14.23
Corner 3	10.9%	-2.0%	$6.84
Corner 4	10.9%	0.0%	$11.44
This DCF's range at Morgan Stanley's inputs: low / high ($)	$6.84	$14.23	
Morgan Stanley's reported DCF range: low / high ($)	$6.80	$13.90	
Gap at each end	0.6%	2.3%	

VALUE TO SUN

Standalone enterprise value ($m)	10,458
+ PV of synergies, net of cost to achieve ($m)	1,803
VALUE TO SUN, INCLUDING SYNERGIES ($m)	**12,261**
per Organon share ($)	$16.61
Price paid: headline EV + fees ($m)	11,900
NPV TO SUN SHAREHOLDERS ($m)	**361**
Share of the synergy value kept by Sun	20.0%
NPV with zero synergies ($m)	(1,442)
Share of Sun's $350m guide needed to break even	82.2%

THE MARKET'S VERDICT

Sun close 9-Apr-2026, proxy unaffected date (Rs)	1,717.10
Sun close 23-Apr-2026, before the leak-night report (Rs)	1,680.10
Sun close 27-Apr-2026, announcement day (Rs)	1,733.50
Nifty 50, 9-Apr-2026	23,775.10
Nifty 50, 23-Apr-2026	24,173.05
Nifty 50, 27-Apr-2026	24,092.70
Nifty 50, 23-Oct-2026	22,600.00
OGN unaffected market cap ($m)	1,969
Value handed to Organon holders at $14 ($m)	2,020
Sun relative to Nifty, 23→27 Apr	3.5%
Sun relative to Nifty, 9→27 Apr (whole window from the unaffected date)	-0.4%
Sun since announcement, 27-Apr to 23-Oct-2026	0.8%
Nifty 50 since announcement	-6.2%
Sun relative since announcement (points)	7.0%

THE VERDICT

Organon holders won the auction: $14 is +103% on the proxy's unaffected price and 36 points above the 75th percentile of Morgan Stanley's premia study — though only +6% on the 52-week high.

Sun paid an ordinary multiple (6.3x LTM EBITDA, inside Morgan Stanley's two precedents) for an extraordinary equity premium; leverage makes both true at once.

On management's projections at Organon's own ~10.5% cost of capital, Sun keeps only about a fifth of the guided synergy value and needs roughly 80% of the $350m to break even.

Cheaper capital or the seller's ~$700m synergy estimate would make it a good deal; at the 50% our Sun note carries, it is worth less than it cost.

Sensitivities

Each grid recomputes from the inputs on Synergies, Valuation & Verdict and Accretion-Dilution. Axis values are inputs (blue).

1) NPV TO SUN ($m) — Sun's guide delivered (rows) × price paid as EV / 2026E EBITDA (columns), at the base discount rate

Delivery ↓ / EV/EBITDA →	5.50x	6.00x	6.08x	6.50x	7.00x	7.50x
50.0%	451	(496)	(651)	(1,443)	(2,390)	(3,337)
75.0%	957	10	(145)	(937)	(1,884)	(2,831)
100.0%	1,462	515	361	(432)	(1,379)	(2,326)
125.0%	1,968	1,021	867	74	(873)	(1,820)
200.0%	3,486	2,539	2,384	1,592	645	(302)

Check: base delivery at the actual multiple vs Valuation & Verdict (must be 0) 0

The third column is the price actually paid; price = multiple × 2026E EBITDA + other debt-like items + fees. The 200% row is Organon's own ~$700m preliminary estimate.

2) NPV TO SUN ($m) — discount rate for Organon and its synergies (rows) × Sun's guide delivered (columns)

Discount rate ↓ / delivery →	0%	50%	100%	125%	200%
8.0%	1,470	2,804	4,138	4,805	6,806
9.0%	25	1,210	2,396	2,989	4,767
10.0%	(1,153)	(88)	976	1,508	3,105
10.5%	(1,663)	(651)	361	867	2,384
11.0%	(2,129)	(1,166)	(202)	280	1,725

Check: base rate and delivery vs Valuation & Verdict (must be 0) 0

3) NPV TO SUN ($m) — terminal free cash flow (rows) × discount rate (columns), base synergies

Terminal FCF ↓ / rate →	9.0%	10.0%	10.5%	11.0%
774	(1,143)	(2,118)	(2,542)	(2,931)
930	(72)	(1,182)	(1,664)	(2,105)
1,100	1,095	(161)	(706)	(1,205)
1,290	2,396	976	361	(202)
1,400	3,154	1,639	983	383

Check: base terminal FCF and rate vs Valuation & Verdict (must be 0) 0

$774m = 2030E UFCF as published; $930m = 2027E–2029E average UFCF (both still carry the one-off costs); the base row is the clean build on Valuation & Verdict.

4) EPS ACCRETION FY2028E, reported basis — Sun's guide delivered (rows) × cost of acquisition debt (columns)

Delivery ↓ / debt cost →	5.5%	6.0%	6.5%	7.0%	8.0%
0.0%	12.4%	9.7%	7.0%	4.3%	-1.1%
50.0%	14.7%	12.0%	9.3%	6.6%	1.1%
100.0%	17.0%	14.3%	11.5%	8.8%	3.4%
125.0%	18.1%	15.4%	12.7%	10.0%	4.5%

Check: base delivery at 6.5% vs Accretion-Dilution (must be 0) 0.000000

5) IMPLIED PROBABILITY OF CLOSING — break price (rows) × OGN price (columns)

Break price ↓ / OGN price →	$13.25	$13.50	$13.75	$13.90
$6.91	91.1%	94.7%	98.2%	100.4%
$7.00	91.0%	94.6%	98.2%	100.4%
$7.72	90.0%	94.0%	98.0%	100.4%
$8.50	88.6%	93.1%	97.7%	100.5%
$9.50	86.0%	91.6%	97.2%	100.6%

Check: base break price at the 23-Oct price vs Spread & Odds (must be 0) 0.000000

Evidence — sources for every input

Primary filings first; market data dated. Full text of the proxy, 10-Q, 10-K and 8-Ks saved under DEALS/SUNPHARMA-ORGANON/_build/sources.

Input	Value	Source	Date
Offer, structure, fees, outside date, financing	$14.00 cash; $120m fee; 26-Jan-2027, extendable to 26-Apr-2027	Organon DEFM14A (Annex A merger agreement; summary pp.1–8)	17-Jun-2026
Bid history, competing parties	Party B/C/D, Sun ranges; Party C could not finance a final bid	DEFM14A — Background of the Merger	17-Jun-2026
Premia (103%, 120%, 53%), unaffected date	$6.91 on 9-Apr-2026 (a 19-Jan-2026 press report preceded it)	DEFM14A — Reasons for the Merger	17-Jun-2026
Morgan Stanley ranges and inputs	DCF $6.80–13.90 at 10.2–10.9%, −2% to 0%; FD shares 284.9m; net debt $7,530m; LTM EBITDA $1,832m	DEFM14A — Opinion of Morgan Stanley; Certain Unaudited Financial Information	17-Jun-2026
Organon Projections 2026E–2030E	see Target Standalone	DEFM14A p.64	17-Jun-2026
FY2023–FY2025 financials; SBC $77m	see Target Standalone	Organon 10-K FY2025; Q4 2025 results (8-K Ex 99.1)	24-Feb-2026 / 12-Feb-2026
Balance sheet 30-Jun-2026; stockholder approval; 'early 2027'	Debt at carrying value; face ~$8.6bn	Organon 10-Q Q2 2026	31-Jul-2026
Seller's preliminary cost-synergy estimate	~$700m, shown to Sun on 22-Jan-2026	Organon 8-K (supplemental disclosures)	17-Jul-2026
Synergies $350m cost, 2–4 years; EPS accretive day one; cash $2–2.5bn; 2.3x; Organon debt ~5.5%	—	Sun Pharma investor call transcript (NSE filing)	27-Apr-2026 (filed 5-May-2026)
Combined revenue $12.4bn; financing banks; advisers	—	Sun Pharma press release	27-Apr-2026
Sun standalone financials and EPS path	see Acquirer Standalone	Desk Sun Pharma model (from company filings)	07-Sep-2026
Share prices, indices, FX, T-bill	OGN $13.75; SUN Rs 1,748; INR 94.93; 3m T-bill 4.03%; S&P 500 7,623.68	NYSE / NSE closes; US Treasury 13-week yield	23-Oct-2026
Desk assumptions	10.5% discount rate (Organon's risk); −1% growth; 1.0x cost to achieve; 6.5% acquisition debt; 7.5% lost yield; $150m fees; $500m PPA (range $400–600m); close 26-Jan-2027; break price = unaffected × S&P 500	Desk — see Sensitivities	24-Oct-2026